

International aid

Low-income and middle-income countries that need to borrow often find it relatively expensive to do so. A number of countries have requested aid from other countries, often called foreign aid. Aid can take a number of forms. It may be as a grant, a loan at reduced interest rate, technical assistance or direct provision of goods and services.

Aid can be tied or untied, bilateral or multilateral. Tied aid is aid that comes with conditions. For example, a grant may be given provided that it is spent on buying products from the donor country. Untied aid is aid given without conditions. Bilateral aid is aid given by one country to another country. In contrast, multilateral aid is aid given by countries to international organizations such as the World Bank or United Nations (UN) agency, which then distributes it to other countries.

Reasons for giving aid

It might be expected that most aid would go to the poorest countries but this is not always the case, as Table 52.1 shows.

This difference in the countries that would be expected to receive the most aid and those that actually do reflects the different reasons for giving aid. Tied, bilateral aid may be given to promote the industries of the donor country. A government may seek to increase the growth of an infant industry by requiring the recipient country that receives the aid to spend on products from its country. For instance, the donor government may provide money for the recipient to buy tractors. The donor government may insist that the recipient imports tractors from firms in the donor's country, even if cheaper or better-quality tractors are available from firms in other countries.

Tied aid directly increases demand for the donor country's exports, but untied aid may also be given in the hope of increasing the donor country's exports. If aid does promote economic growth in the recipient country, it is likely to result in the recipient country buying more imports. The recipient country may be more inclined to buy from the donor country's industries if good relationships have built up as a result of the aid giving.

A motive behind some bilateral aid is to gain political influence. A recipient government may feel obliged to support the donor government in its disputes with another country or countries. For instance, a donor government may be imposing trade restrictions on another country and may put pressure on the recipient country to do the same.

Both bilateral and multilateral aid may be given to influence the economic policies of the recipient government. For example, a government may give aid to another country on condition that it ends the use of child labour or that it reduces its budget deficit.

Both bilateral and multilateral aid can be given for humanitarian motives that is out of a desire to do good. This may be the case with crisis aid that is aid given to save lives during natural disasters and famines. Governments and international organizations can also recognize that the development of other countries can increase global GDP and international trade and reduce the risk of negative external shocks.

Country	Aid received (\$m)	GDP per head (\$)
Syrian Arab Republic	9991	2033
Yemen Republic	7985	944
Ethiopia	4930	772
Afghanistan	3789	521
Nigeria	3302	2028
Bangladesh	3040	1698
Jordan	2524	4242
Democratic Republic of the Congo	2510	562
India	2454	2010
Tanzania	2453	1051

Table 52.1: The top ten recipients of aid in 2018

The effects and importance of aid

Aid can help the recipient country to experience increases in its income per head and development. Aid can provide the investment, or the finance, for education, healthcare and new industries that the recipient country may be lacking.

Investment may not be easy for some low-income and middle-income countries to achieve. This may be because of the lack of savings and the lack of financial institutions to channel those savings that do exist from lenders to entrepreneurs wanting to establish new firms and to expand the output of existing firms. There may also be a shortage of entrepreneurs.

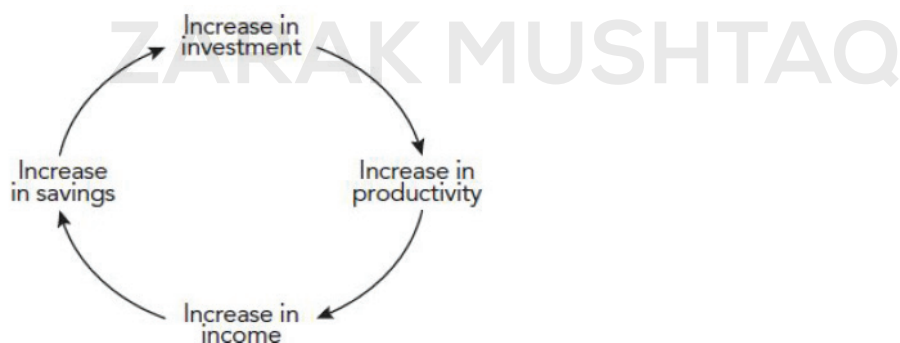


Figure 52.3: A virtuous circle

However, if investment can be encouraged, a virtuous cycle may be created as shown in Figure 52.3.

A number of countries rely heavily on aid. For example, in 2019, 40% of Burundi's income came from aid. Heavy reliance on aid can have a number of disadvantages. Some forms of aid can result in countries becoming increasingly indebted. In some cases, low- and middle-income countries transfer more money to high-income countries in terms of interest on past loans (even if given on favorable terms) than they are currently receiving in aid. Advice given and policies suggested or imposed on low- and middle-income economies by international organizations, such as the International Monetary Fund (IMF) and the World Bank, are not always suitable given the conditions in the low and middle-income countries. For example, it may not be the best advice to recommend an economy use capital intensive methods when it has a shortage of capital but lots of labour. In addition, requiring a government to cut spending on primary education to cut a budget deficit may harm an economy's development and longer-term economic growth prospects.

Trade and investment

International trade can be dominated by high-income countries. The terms of trade are more likely to benefit high-income countries since they can exercise more power in trade negotiations. As a result, low-income countries and some middle-income countries are often forced to concentrate on primary products.

Trade

The governments of low-income countries and some middle-income countries often argue for trade rather than aid. What they are actually arguing for is trade on fair terms. There are several reasons why international trade can act as an engine for growth. It can improve supply conditions and can reduce costs, which can lead to more efficient production as:

- Economies of scale become possible because of the larger market
- The increased competition encourages domestic entrepreneurs to innovate and look for new techniques of production
- Trade leads to a transfer of skills and technology from high-income to low- and middle-income economies
- Specialization and trade increases incomes and so provides the increased savings which can be used for investment.

Trade may also stimulate demand. The expansion of production to cater for the export market may increase employment. The result will be an expansion of spending power in the home market that will create demand for domestic output.

Low-income countries have tended to specialise in primary products. Those low-income and middle-income countries that have specialized in agricultural products have been at a disadvantage in trading relations since the prices of agricultural products have declined relative to the prices of manufactured goods and services over time. This is for three main reasons:

1. The income elasticity of demand for primary products is low so that, as world incomes have risen, there has been little extra demand for agricultural products and demand has shifted to manufactured goods and services.
2. Producers of manufactured goods in high-income economies have an element of monopoly power, which they have used to maintain high prices.
3. Subsidies provided to farmers in the USA and Europe put downward pressure on global agricultural prices. For instance, it is claimed that US subsidies given to its cotton farmers have deflated the global price and have given US cotton farmers an unfair competitive advantage.

As trading patterns have been seen by some governments as exploitative, a number of countries, such as Venezuela, have adopted import substitution policies and attempted to diversify their economies. They have tried to prevent imports of manufactured goods from high-income economies in order to develop their own manufacturing industries. Others, such as the Philippines, have gone for export-led growth. Generally, the secondary sector is becoming more important in low- and middle-income economies and some are gaining comparative advantage in industries formerly dominated by high-income economies.

Investment

Investment flows between countries in search of profits, interest and dividends. Many low-income and middle-income countries have a deficit on the current account of their balance of payments. This requires a surplus on the financial account to cover it and is a reason why the governments of low-income and middle-income countries often seek to attract direct and portfolio investment from other countries.

Much investment initially went between high-income countries. More recently, there has been an increase in investment in and from what are sometimes referred to as emerging economies. These are economies that have high rates of economic growth and are expected to have high rates of return while, in some cases, carrying a greater risk than investment in high-income countries.

In 2001, Jim O'Neill, an analyst working at an investment bank, labelled four countries, Brazil, Russia, India and China as the BRICs. He identified these countries as the ones with the greatest potential for economic growth and the ones providing the best opportunities for investment. The governments of the four countries now meet regularly. In 2010, they were joined by the government of South Africa, so now the term used is BRICS and it covers Brazil, Russia, India, China and South Africa.

The BRICS, particularly China and India, are important investors in other countries. For example, state-owned Chinese firms have invested in infrastructure projects in Africa and Indian firms have invested in a range of European countries.